WAVERLEY GATEWAY GUIDE

Connecting International Capital

LITHUANIA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Vilnius	Capital and main business centre; seat of government, the Bank of Lithuania and most fintech, technology and business-services investors	Fintech, software and AI, business services, life sciences
Kaunas and Kaunas Free Economic Zone	Second city and an advanced manufacturing and engineering hub, with a free economic zone offering ten years without corporate income tax for qualifying investors	Electronics, automotive components, engineering, IT
Klaipėda port and Free Economic Zone	Lithuania's ice-free Baltic Sea port and LNG gateway, with a free economic zone and a new shipbuilding and components plant	Port logistics, shipbuilding, energy, manufacturing
Baisogala (Radviliškis District)	Site of Rheinmetall's 155mm artillery ammunition plant, now under construction with a growing local supplier base	Defence manufacturing, metalworking, logistics
Panevėžys and Šiauliai Free Economic Zones	Northern industrial cities with serviced free-zone land and lower labour costs than Vilnius	Manufacturing, food processing, dual-use industry
Kėdainiai, Marijampolė and Akmenė Free Economic Zones	Smaller free zones in central and southern Lithuania suited to chemicals, building materials and food production	Chemicals, food processing, construction materials

INVESTOR ENTRY ROUTES

- Invest Lithuania, the national investment agency under the Ministry of Economy and Innovation, provides free facilitation, site selection and incentive guidance; it confirmed 31 FDI projects in 2025
- Seven free economic zones (Kaunas, Klaipėda, Akmenė, Kėdainiai, Marijampolė, Panevėžys and Šiauliai) offering no corporate income tax for 10 years, then a 50% reduction for 6 years, for qualifying investments
- Large investment project status, with up to 20 years of corporate tax exemption for qualifying manufacturing and data projects and 'green corridor' fast-track permitting under an agreement with the government
- Corporate income tax of 17% from January 2026 (7% for small companies and for qualifying patent and software income), with a triple deduction for R&D costs
- Euro-area membership since 2015: the euro is the national currency, with free movement of capital under EU rules

- EU single-market, Schengen and NATO membership, giving free movement of goods, services, capital and people across the EU
- Bank of Lithuania licensing for payment, e-money and crypto-asset firms, used by fintechs as an EU-wide gateway

MARKET-ENTRY OBSERVATION

Lithuania in November 2026 combines euro-area membership and low public debt with one of the most dynamic fintech and defence-industrial sectors in Europe. The European Commission estimates growth of 2.9% in 2025 and forecasts 3.0% for 2026; output rose 4.1% year-on-year in the second quarter of 2026, and the flash estimate for the third quarter showed 1.8% annual growth despite a quarterly dip in construction and transport. The stock of foreign direct investment reached €43.8 billion at the end of 2025, 52.1% of GDP, led by investors from Germany, the Netherlands, the United Kingdom, Estonia and Sweden. Invest Lithuania confirmed 31 projects in 2025 expected to create 2,139 jobs, with recent investors including Robinhood, Checkout.com, Rheinmetall and Pentasweet, whose €65 million facility adds to a growing life-sciences cluster. A new Social Democrat-led government under Prime Minister Mindaugas Sinkevičius took office in July 2026.

Lithuania's main structural challenge is financing a rapid rise in defence spending while keeping inflation and public finances on a sound footing. The 2026 budget allocates €4.79 billion, 5.38% of GDP, to defence, among the highest shares in NATO, funded partly by tax changes that raised corporate income tax to 17%. Inflation rose to 6.7% in September 2026, driven by transport and energy costs, and the ECB raised its deposit rate to 2.50%, where it was held on 29 October 2026. The starting position is strong: the Commission puts the 2025 deficit at 1.8% of GDP and debt at 39.5%, rising to 44.6% in 2026, and EU rules allow added defence spending within agreed limits. Defence investment is itself an opportunity, with Rheinmetall building a plant at Baisogala and talks continuing on a second facility worth more than €400 million.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Border with Russia (Kaliningrad) and Belarus	Lithuania borders both countries, which are subject to extensive EU sanctions, and has faced border incidents and hybrid pressure	NATO membership and allied troop deployments underpin security; trade with Russia and Belarus requires sanctions screening by counsel
Inflation and rising interest rates	Inflation reached 6.7% in September 2026 and the ECB deposit rate has risen to 2.50%, lifting wage and financing costs	Euro membership anchors monetary policy; build wage and energy assumptions into plans and lock in funding where possible
Higher taxes to fund defence	Corporate income tax rose to 17% in 2026 and new levies apply to some insurance and property	Free economic zones, large-project relief and R&D deductions can sharply reduce the effective rate for qualifying investors
Rising public debt	The Commission forecasts debt rising from 39.5% of GDP in 2025 to 44.6% in 2026 as defence is pre-financed	Debt remains well below the EU average, and EU rules provide a defence-spending clause with clear limits
Political change	Lithuania has had three prime ministers since late 2024, with the latest coalition reshuffle in June 2026	Core policy on the EU, NATO, defence and investment is consistent across parties; maintain links with ministries and Invest Lithuania
Labour availability	Skilled labour is tight in Vilnius and Kaunas, and unemployment is forecast at 6.7% in 2026	Use regional free zones, university partnerships and EU-funded training; Invest Lithuania supports talent attraction

INVESTOR RISK NOTE

Lithuania's risk profile is that of a stable EU, euro-area and NATO member with low debt, strong institutions and a clear pro-investment policy. Debt of 39.5% of GDP in 2025 and a deficit of 1.8% leave room to finance record defence spending of 5.38% of GDP in 2026, though debt is forecast to rise. Inflation of 6.7% in September 2026 and higher ECB rates are the main near-term cost pressures, and the 2026 tax reform raised corporate income tax to 17%. Lithuania borders Belarus and Russia's Kaliningrad region, both subject to comprehensive EU sanctions;

investors should screen any dealings with those markets with sanctions counsel. Allied troop deployments and rising defence investment have strengthened security and created new industrial opportunities. The June 2026 government change kept the Social Democrats in charge, with continuity on core economic and foreign policy.

MARKET ACCESS

As an EU member, Lithuania gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro membership since 2015 removes exchange-rate costs with euro-area partners, and Schengen membership allows passport-free travel. Klaipėda, Lithuania's ice-free Baltic Sea port, links Lithuania with Scandinavia and global shipping, and its LNG terminal supplies the wider Baltic region. Rail Baltica, the standard-gauge railway connecting the Baltic states to Poland and Western Europe, is under construction. Lithuania's largest trading partners are its EU neighbours, while trade with Russia and Belarus is heavily restricted by EU sanctions.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Government (Prime Minister Mindaugas Sinkevičius)	Sets economic, fiscal and defence-industrial policy; the Social Democrat-led government took office in July 2026	Primary reference point for strategic projects and investment agreements
Invest Lithuania	National investment agency; leads on FDI projects, incentives and talks with strategic investors such as Rheinmetall	Standard first point of contact for market entry
Bank of Lithuania (Lietuvos bankas)	Member of the Eurosystem whose governor sits on the ECB Governing Council; supervises banks, fintech, payment and crypto-asset firms	Key counterpart for fintech licensing and financial-sector matters
Ministry of Economy and Innovation	Oversees investment policy, free economic zones and large-project agreements	Relevant for incentives and industrial investment
Ministry of Finance	Leads the budget, tax policy and defence-fund financing	Counterpart on tax and public-finance matters
Ministry of National Defence	Manages Lithuania's record defence budget and procurement	Key buyer for defence and dual-use suppliers
EPSO-G	State energy transmission group, partner in plans for Leopard 2 tank assembly and maintenance with German manufacturers	Partner for energy infrastructure and defence-industrial projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Lithuania, the British Chamber of Commerce in Lithuania, the German-Baltic Chamber of Commerce (AHK) and the Association of Lithuanian Chambers of Commerce, Industry and Crafts are the main business networks, alongside the Lithuanian Confederation of Industrialists. Invest Lithuania runs investor events and sector programmes in fintech, life sciences, defence and advanced manufacturing, and connects foreign firms with local partners and suppliers. The European Bank for Reconstruction and Development, the European Investment Bank and the Nordic Investment Bank are active in energy, infrastructure and private-sector finance. Embassies of major EU partners, the United Kingdom and the United States maintain commercial sections that provide introductions.

INVESTOR PROFILE BEST SUITED

Lithuania suits investors seeking a stable euro-area base on NATO's eastern flank: fintech and payments companies using Bank of Lithuania licences as an EU gateway; software, AI and business-services firms drawing on talent in Vilnius and Kaunas; defence and dual-use manufacturers supplying the national programme and Rheinmetall's local supply chain; advanced manufacturers and life-sciences companies using free economic zones; and logistics and energy investors around Klaipėda port and Rail Baltica. Companies with any exposure to Russia or Belarus should take sanctions advice first.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Lithuania early
Open dialogue with the agency to test eligibility for free economic zone, large-project and R&D incentives and to plan site selection.

STEP 2: Compare free economic zone sites
Assess Kaunas, Klaipėda and regional free zones on land, labour, logistics and the 10-year corporate tax holiday.

STEP 3: Position for defence and dual-use demand
Map procurement by the Ministry of National Defence and supply-chain needs around the Rheinmetall plant at Baisogala.

STEP 4: Secure licences for financial services
For fintech, payments or crypto-asset activity, plan the Bank of Lithuania licensing process and EU passporting from the outset.

STEP 5: Plan for costs and compliance
Build inflation, interest-rate and 2026 tax changes into models, and screen any Russia or Belarus links with sanctions counsel.